3.3.1 The Firm: Objectives, Costs and Revenues

The Objectives of Firms

Candidates should understand that the models that comprise the traditional theory of the firm are based upon the assumption that firms aim to maximise profits. They need to understand the MR=MC profit maximising rule. They should also understand the satisficing principle and know that firms have a variety of other possible objectives.

The Divorce of Ownership from Control

Candidates should understand the reasons for the separation of ownership from control in modern industrial economies and be able to discuss its significance for the conduct and performance of firms.

The Law of Diminishing Returns and Returns to Scale

Candidates should understand the difference between the short run and the long run and between the marginal returns (or product) of a variable factor of production in the short run and returns to scale in the long run. They should appreciate how productivity and factor prices affect firms' costs of production and the choice of factor inputs.

Note: at A2, the concept of the margin is important and for this unit candidates must understand the difference between marginal returns (or marginal product), marginal cost and marginal revenue, as well as the difference learnt at AS between marginal private and social cost and benefit.

Fixed and Variable Costs, Marginal, Average and Total Costs, Short-run and Long-run Costs	Candidates should be able to calculate a firm's costs and draw cost curves from given data. They should understand the reasons for the shape of cost curves and be able to interpret how costs affect decision-making by firms.
Economies and Diseconomies of Scale	Candidates should understand the concept of the minimum efficient scale of production and its implications for the structure of an industry and barriers to entry.
Technological Change	Candidates should understand how technological change and technical progress are affecting the structure of markets and the production and consumption of goods and services. Candidates should understand the impact of invention, innovation and technological change upon a firm's methods of production, its efficiency and its cost structure.
Total, Average and Marginal Revenue	Candidates should be able to calculate a firm's revenue from given data and be able to draw and interpret revenue curves. They should understand the reasons for the shape of revenue curves and be able to interpret how revenue affects decision-making by firms.